

ECO101

Introduction to Microeconomics

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Summer 2026



Credit: Cengage 2014

Week 1 learning objectives

- ***Why Economics?***
- ***What is the difference between microeconomics and macroeconomics? Between positive and normative statements?***
- ***What are models? How do economists use them?***
- ***What are the elements of the Circular-Flow Diagram? What concepts does the diagram illustrate?***
- ***How is the Production Possibilities Frontier related to opportunity cost? What other concepts does it illustrate?***

What Economics Is All About

Scarcity: the limited nature of society's resources

Economics: the study of how society manages its scarce resources and the decisions they take, e.g.

- how people decide what to buy
- how much to work, save, and spend
- how firms decide how much to produce
- how many workers to hire
- how society decides how to divide its resources between national defense, consumer goods, protecting the environment, and other needs

Microeconomics and Macroeconomics

Microeconomics is the study of how households and firms make decisions and how they interact in markets.

Macroeconomics is the study of economy-wide phenomena, including inflation, unemployment, and economic growth.

These two branches of economics are closely intertwined, yet distinct—they address different questions.

The Economist as a Scientist and as a Policy Advisor

As scientists, economists make **positive statements**, which attempt to describe the world as it is. **(FACTS)**

As policy advisors, economists make **normative statements**, which attempt to prescribe how the world should be. **(OPINIONS)**

Positive statements can be confirmed or refuted, normative statements cannot.

A few principles of economics decision making



PRINCIPLE #1: People Face Tradeoffs

All decisions involve **tradeoffs**.

Examples:

- Going to a party the night before your midterm leaves less time for studying.
- Having more money to buy stuff requires working longer hours, which leaves less time for leisure.
- Protecting the environment requires resources that could otherwise be used to produce consumer goods.

PRINCIPLE #2:

The Cost of Something Is
What You Give Up to Get It

Making decisions requires comparing the costs and benefits of alternative choices.

The **opportunity cost** of any item is whatever must be given up to obtain it.

It is the relevant cost for decision making.

PRINCIPLE #3: People Respond to Incentives

Incentive: something that induces a person to act, i.e. the prospect of a reward or punishment.

Rational people respond to incentives.

Examples:

- When gas prices rise, consumers buy more hybrid cars and fewer gas guzzling SUVs.
- When cigarette taxes increase, teen smoking falls.

PRINCIPLE #4:

Trade Can Make Everyone Better Off

Rather than being self-sufficient, people can **specialize** in producing one good or service and exchange it for other goods.

Countries also benefit from trade and **specialization**:

- Get a better price abroad for goods they produce
- Buy other goods more cheaply from abroad than could be produced at home

PRINCIPLE #5:

Markets Are Usually A Good Way to Organize Economic Activity

Market: a group of buyers and sellers
(need not be in a single location)

“**Organize economic activity**” means determining:

- what goods to produce
- how to produce them
- how much of each to produce
- who gets them

PRINCIPLE #5:

Markets Are Usually A Good
Way to Organize Economic
Activity

A **market economy** allocates resources through the decentralized decisions of many households and firms as they interact in markets.

Famous insight by Adam Smith in *The Wealth of Nations* (1776):

*"Each of these households and firms acts as if "led by **an invisible hand**" to promote general economic well-being."*

PRINCIPLE #6:

**Governments
Can Sometimes
Improve
Market
Outcomes**

Important role for govt: **enforce property rights** (with police, courts)

People are less inclined to work, produce, invest, or purchase if large risk of their property being stolen.